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Preparation of final accounts of companies in vertical form as per Companies Act of 2013

Preparation of final accounts of companies in vertical form as per Companies Act of 2013 (Problems of Final Accounts with adjustments), Window dressing. Case Study problem on Final Accounts of Company-Appropriation accounts. (Theory and Problems).

Structure

- 4.1 Introduction
- 4.2 Schedule III of the Companies Act, 2013
- 4.3 General Instructions for the preparation of Financial Statement
- 4.4 Profit and Loss Statement Part II of Schedule III
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- 4.7 Statement of changes in Equity
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4.1 INTRODUCTION

Companies are required to prepare their final accounts as per the provisions of the Companies Act 2013. They should prepare and keep the books of accounts of every financial year at their registered office which gives a true and fair view of the state of affairs of a company. Companies should keep the books of accounts on an accrual basis and according to the double-entry system of accounting.

As per Section 129 of the act, at the time of the company's annual general meeting, it is mandatory for the board of directors to lay down the financial statements before the company. The financial statements include –

- I. Profit and loss statement

- II. Balance sheet
- III. Cash flow statement
- IV. Statement of changes in Equity
- V. Notes to accounts

Note – Cash flow statement is not a part of financial statements in case of

electricity supply or any other class of companies to prepare the financial statements, while in case of all other companies, balance sheet and profit & loss statement is prepared as per Part I and Part II of Schedule III.

It is mandatory for the companies to comply with the accounting standards as notified by the Central Government from time to time.

4.2 SCHEDULE III OF COMPANIES ACT, 2013

The companies must prepare and present their final accounts as per the Schedule III of the Company Act, 2013. The Schedule was formulated in order to keep pace with changing economic philosophies leading to privatisation, globalisation and subsequent desired changes in corporate financial reporting practices. The several new features of Schedule III are as follows –

- Vertical format of presenting the Balance Sheet items and their classification into current and non-current heads.
- Vertical format of profit and loss statement with classification of expenses based on nature.
- Elimination of the concept of "Schedules" and such information is now furnished in "Notes to accounts"
- It does not contain any specific disclosure for items included in Schedule VI under the head, "Miscellaneous Expenditure."
- Debit balance of profit and loss statement will be disclosed as a negative figure under "Reserves and Surplus" head.
- Preparation of cash flow statement as per AS-3.
- The Schedule gives prominence to AS in case of any conflict between AS and Schedule.

4.3 GENERAL INSTRUCTIONS FOR THE PREPARATION OF FINANCIAL STATEMENTS

- Schedule III sets provides minimum requirements for disclosure on the face of the Balance Sheet, and the Statement of Profit and Loss (herein after referred to as "Financial Statements") and Notes.
- This implies that new line items or sub-items can be added or substituted in the Financial Statements when such presentation is:
 - Relevant to an understanding of the company's financial position
 - To meet industry/sector-specific disclosure requirements
 - When required for compliance when statutory changes are made especially in case of the amendments to the Companies Act or under the Accounting Standards.

change in treatment or disclosure, including addition, amendment, substitution or deletion in the head or sub-head or any changes, interest, in the financial statements or statements forming part thereof, the same shall be made, and the requirements of this Schedule shall stand modified accordingly.

- The disclosure requirements specified in this Schedule are in addition to and not in substitution of the disclosure requirements specified in the Accounting Standards prescribed under the Companies Act, 2013. Additional disclosures specified in the Accounting Standards shall be made in the notes to accounts or by way of additional statements unless required to be disclosed on the face of the Financial Statements. Similarly, all other disclosures as required by the Companies Act shall be made in the notes to accounts in addition to the requirements set out in this Schedule.
- Notes to accounts shall contain information in addition to that presented in the Financial Statements and shall provide where required
 - Narrative descriptions or disaggregation of items recognised in those statements; and
 - Information about items that do not qualify for recognition in those statements.
- Each item on the face of the Balance Sheet and Statement of Profit and Loss shall be cross-referenced to any related information in the notes to accounts. In preparing the Financial Statements, including the notes to accounts, a balance shall be maintained between providing excessive detail that may not assist users of financial statements and not providing necessary information as a result of too much aggregation.
- Depending upon the turnover of the company, the figures appearing in the Financial Statements may be rounded off as given below: –

S.No.	Turnover	Rounding off
1	less than one hundred crore rupees	To the nearest hundreds, thousands, lakhs or millions, or decimals thereof.
2	one hundred crore rupees or more	To the nearest lakhs, millions or crores, or decimals thereof

- Once a unit of measurement is used, it shall be used uniformly in the Financial Statements.
- Except in the case of the first Financial Statements laid before the company (after its incorporation), the corresponding amounts (comparatives) for the immediately preceding reporting period for all items shown in the Financial Statements, including notes, shall also be given.
- For this Schedule, the terms used herein shall be as per the applicable

SCHEDULE-III

Particulars		Note No.	Figures for the current reporting period		Figures for the previous reporting period		
I.	Revenue from operations			xxx		xxx	
II.	Other income			xxx		xxx	
III.	Total Revenue(I+II)			xxx		xxx	
IV.	Expenses:			xxx		xxx	
	Cost of materials consumed			xxx		xxx	
	Purchases of Stock-in-Trade			xxx		xxx	
	Changes in inventories of Finished goods, Work-in-Progress and Stock-in-Trade			xxx		xxx	
	Employee benefits expense			xxx		xxx	
	Finance costs			xxx		xxx	
	Depreciation and Amortisation expense			xxx		xxx	
	Other expenses			xxx		xxx	
Total expenses					xxx		xxx
V.	Profit before exceptional and extraordinary items and tax(III-IV)				xxx		xxx
VI.	Exceptional items				xxx		xxx
VII.	Profit before extraordinary items and tax (V-VI)				xxx		xxx
VIII.	Extraordinary Items				xxx		xxx
IX.	Profit before tax (VII-VIII)				xxx		xxx
X.	Tax expense:						
(1)Current tax				xxx		Xxx	
(2)Deferred tax				xxx	xxx	Xxx	xxx
XI.	Profit(Loss) for the period from continuing operations (VII-VIII)				xxx		xxx
XII.	Profit/(Loss) from discontinuing operations				xxx		xxx

XIII. Tax expense of discontinuing operations			xxx		xxx

- **Assets** are the resources controlled by the enterprise due to past events from which future economic benefits are expected to flow to the enterprise.
- **Liabilities** are the obligation of an enterprise arising from the past event, the settlement of which leads to an outflow of resources embodying economic benefits,
- **Equity** is the residual interest in the interest of an enterprise after deducting all the liabilities.

Particulars	Note No.	Figures as at the end of current reporting period	Figures as at the end of the previous period
1	2	3	4
I. EQUITY AND LIABILITIES (1) Shareholder's funds (a) Share capital (b) Reserves and surplus (c) Money received against share warrants (2) Share application money pending allotment (3) Non-current liabilities (a) Long-term borrowings (b) Deferred tax liabilities (net) (c) Other Long-term liabilities (d) Long-term provisions (4) Current liabilities (a) Short-term borrowings (b) Trade payables (c) Other current liabilities (d) Short-term provisions TOTAL			
II. ASSETS (1) Non-current assets (a) Fixed Assets (i) Tangible assets (ii) Intangible assets (iii) Capital work-in-progress (iv) Intangible assets under development (b) Non-current investments (c) Deferred tax assets (net) (d) Long-term loans and advances			

(e) Other non-current assets			
(2) Current assets			
(a) Current investments			
(b) Inventories			
(c) Trade receivables			
(d) Cash and cash equivalents			
(e) Short-term loans and advances			
(f) Other current assets			

Some items are to be explained in the Notes to Accounts as follows:

A. Share Capital

For each class of share capital following points is to be kept in mind:

- i) The number and amount of shares authorised.
- ii) The number of shares which are issued subscribed and fully paid and which are issued, subscribed but not fully paid.
- iii) The par value per share.
- iv) Shares outstanding at the beginning and at the end of the reporting period should be reconciled.
- v) Calls unpaid.
- vi) Forfeited shares.

B. Reserves and Surplus

Reserves and surplus can be distributed among the following sub-heads:

- i) Capital reserves
- ii) Capital redemption reserves
- iii) Securities Premium
- iv) Debenture Redemption reserve
- v) Revaluation reserve
- vi) Surplus; the balance as per profit and loss statement
- vii) Other reserves(specify the nature and purpose)

C. Long term Borrowings

Long term borrowings can be classified under the following sub-heads:

- i) Bonds/Debentures
- ii) Term loans
- iii) Deferred payment liabilities
- iv) Deposits
- v) Long term maturities of finance lease obligations
- vi) Loans and advances from related parties
- vii) Other loans and advances(specify nature)

D. Long Term Provisions

Company

These can be classified as follows:

- i) Employee benefits provision like gratuity, provident fund etc.
- ii) Other provisions (specify the nature)

E. SHORT TERM BORROWINGS

Short term borrowings can be classified among the following sub-heads:

- i) Loans repayable on demand
- ii) Loans and advances from related parties
- iii) Deposits
- iv) Other loans and advances (specify the nature)

F. Other Current Liabilities

Some of the other current liabilities can be grouped as under:

- i) Interest accrued but not/ and due on borrowings
- ii) Income received in advance
- iii) Unpaid dividends
- iv) Application money received for allotment of securities and due for refund and interest accrued thereon
- v) Other current liabilities (specify the nature)

G. Tangible Assets

Tangible assets can be classified as follows:

- i) Land
- ii) Buildings
- iii) Plant and Equipment
- iv) Furniture and Fixtures
- v) Vehicles
- vi) Office equipment
- vii) Others (specify the nature)

A detailed report showing additions, disposals, acquisitions through business combinations and other adjustments and amounts related to depreciation, impairment losses, revaluation etc., should be provided for each class of asset.

H. Intangible Assets

Intangible assets can be classified as follows:

- i) Goodwill
- ii) Brands/trademarks

- v) Publishing titles
- vi) Copyrights, patents and other intellectual property rights, services and operating rights
- vii) Licence and franchise
- viii) Recipes, models, designs, formulae and prototypes
- ix) Others (specify the nature)

A detailed report showing additions, disposals, acquisitions through business combinations and other adjustments and amounts related to depreciation, impairment losses, revaluation etc., should be provided for each class of asset.

I. Non-Current Investments

Investments can be classified as under:

- i. Investments in property
- ii. Investments in equity instruments
- iii. Investments in preference shares
- iv. Investments in governments or trust securities
- v. Investments in debentures or bonds
- vi. Investments in mutual funds
- vii. Investments in partnership firms
- viii. Other non-current investments(specify the nature)

J. LONG TERM LOANS AND ADVANCES

It can be classified under the following sub-groups:

- i. Capital advances
- ii. Security deposits
- iii. Loans and advances to related parties
- iv. Other

loans and advances(specify nature) The above shall also be sub-classified as follows:

- i. Secured, considered goods
- ii. Unsecured, considered goods
- iii. Doubtful

K. Current Investments

It can be classified as follows:

- i. Investments in equity instruments
- ii. Investments in preference shares
- iii. Investments in government or trust securities

iv. Investments in bonds or debentures

- vi. Investments in partnership firms
- vii. Other investments(specify the nature)

Company

L. Inventories

Inventories can be classified as:

- i. Raw materials
- ii. Work-in-progress
- iii. Stores and spares
- iv. Finished goods
- v. Loose tools
- vi. Stock in trade
- vii. Goods in transit
- viii. Others(specify the nature)

M. Cash and Cash Equivalents

The following head can be classified as follows:

- i. Balances with banks
- ii. Cheques, drafts in hand
- iii. Cash in hand
- iv. Others(specify the nature)

Illustration 4.1

The following is the Trial Balance of Alpha Limited as on 31.3.20X2:

(Figures in `'000)

	Debit		Credit
Land at cost	4400	Equity Capital(Shares of Rs. 10each)	6000
Plant& Machinery atcost	15400	10%Debentures	4000
Trade Receivables	1920	General Reserve	2600
Inventories(31.3.X2)	1720	Profit& Loss A/c	1440
Bank	400	Securities Premium	800
Adjusted Purchases	6400	Sales	14000
Factory Expenses	1200	Trade Payables	1040
Administration Expenses	600	Provision for Depreciation	3440
Selling Expenses	600	Suspense Account	80
Debenture Interest	400		
Interim Dividend Paid	360		

Total:	33,400	Total:	33,400
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Overview

- (i) The authorised share capital of the company is 8,00,000 shares of Rs.10 each.
- (ii) The company, on the advice of an independent valuer, wishes to revalue the land at Rs. 72,00,000.
- (iii) Declared final dividend @10% on 2nd April, 20X2.
- (iv) Suspense account of Rs. 80,000 represents cash received for the sale of some of the machinery on 1.4.20X1. The cost of the machinery was Rs.2,00,000 and the accumulated depreciation thereon being Rs.1,60,000.
- (v) Depreciation is to be provided on plant and machinery at 10% on cost.

You are required to prepare Alpha Limited's Balance Sheet as on 31.3.20X2 and Statement of Profit and Loss with notes to accounts for the year ended 31.3.20X2 as per Schedule III. Ignore previous years' figures & taxation.

Solution

Balance Sheet As at 31st March 20X2

Particulars	NoteNo.	(` in000)
Equity and Liabilities		
1. Shareholders' funds		
a Share capital	1	6000
b Reserves and Surplus	2	10600
2. Non-Current liabilities		
a Long term borrowings	3	4000
3. Current liabilities		
a Trade Payables		<u>1040</u>
Total		<u>21640</u>
Assets		
1. Non-current assets		
A PPE(Property, Plant& Equipment)	4	17600
2. Current assets		
A Inventories		1720
B Trade receivables		1920
C Cash and bank balances		<u>400</u>
Total		<u>21640</u>

For the period ending 31st March, 20X2

Particulars	Notes	(`in000)
I. Revenue from operations		14000
II. Other Income	5	<u>40</u>
III Total Revenue		<u>14040</u>
IV Expenses:		
Purchases		6400
Finance costs	6	<u>400</u>
Depreciation (10% of 15,200)		1520
Other expenses	7	<u>2400</u>
Total Expenses		10720
V. Profit (Loss) for the period (III – IV)		3320

Notes to accounts

		(`in000)
1. Share Capital		
Equity share capital		
Authorised		
800,000 shares of Rs. 10each		<u>8000</u>
Issued& subscribed & called up		
600,000sharesof Rs. 10each		<u>6000</u>
2. Reserves and Surplus		
Securities Premium Account		800
Revaluation reserve (7200–4400)		2800
General reserve		2600
Profit& loss Balance		
Opening balance	1440	
Profit for the period	<u>3320</u>	4760
Less: Appropriations		
Interim Dividend	<u>(360)</u>	<u>4400</u>
		<u>10600</u>
3. Long term borrowing		
10%Debentures		4000
4. PPE		

| **Land**

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Note: Dividend declared on 2nd April 20X2 will be accounted for in the next financial year.

4.6 CASH FLOW STATEMENT

The cash flow statement is prepared in accordance with the provisions of AS-3. It provides information about the cash flow position of an enterprise. Further, the statement also identifies the cash from operating, investing and financing activities. The purpose of the statement is to explain the cash movement between two points of time. The sources of cash include the issue of shares, debentures, raising of long term-loan, sale of an investment, sale of fixed assets and cash from operations. In contrast, application of cash includes redemption of shares, debentures, repayment of a long term loan, purchase of fixed assets or investment, payment of tax, dividend and net operating loss.

Note – Cash includes cash in hand, demand deposits with banks, short-term liquid investment, and securities with short-term maturity (less than three months from the date of acquisition).

The cash flow statement includes three major elements, namely –

generating activities of an enterprise. Positive cash flow from operating activities helps an enterprise maintain its operating capability, pay dividends, repay loans, make new investments, etc. It also provides valuable information about financing through working capital.

- b. Cash flow from investing activities – It deals with the acquisition and disposal of long-term assets and other investments. In other words, it represents the extent to which expenditures have been made for resources intended to generate future income and cash flows.
- c. Cash flow from financing activities – These are the activities that result in changes in the size and composition of owner's and borrowed capital. These are useful in predicting claims on future cash flows by providers of capital to the entity. Examples include cash proceeds from the issue of equity shares, loans, debentures, etc.

Cash Flow Statement Format

Particulars	Amt.	Amt.
Net profit before Tax and extraordinary Items	xxx	
Cash flow from Operating activities		
Add: Non-cash and non-operating Items which have already been debited to Profit and Loss Account like:		
Depreciation	xxx	
Amortisation of intangible assets	xxx	
Provision for tax	xxx	
Loss on the sale of Long-term Investments	xxx	
Loss on the sale of Fixed assets	xxx	
Dividend paid	xxx	xxx
Less: Non-cash and Non-operating Items which have already been credited to Profit and Loss Account like:		
Profit on sale of fixed assets	(xxx)	
Profit on sale of Long-term investment	(xxx)	(xxx)
Operating profit before Working Capital changes (A)		xxx
Changes in working capital:		
Add: Increase in current liabilities	xxx	
Decrease in current assets	xxx	xxx
Less: Increase in current assets	(xxx)	
Decrease in current liabilities	(xxx)	(xxx)

Net increase/decrease in working capital (B)		xxx
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Illustration 4.2

Raymond Ltd provides the following information at the year-end, March 31, 20X1:

Particulars	Rs.	Rs.
Sales		1,39,600
Cost of Goods Sold		(1,04,000)
		35,600
Operating Expenses (including Depreciation Expense of Rs. 74,00)		(29,400)
		6,200
Other Income/(Expenses):		
Interest Expense paid	(4,600)	
Interest Income received	1200	
Gain on Sale of Investments	2,400	
Loss on Sale of Plant	(600)	
		(1600)

Information available:

	31 st March 20X1	31 st March 20X0
	Rs.	Rs.
Plant	1,43,00	10,1000
Less: Accumulated Depreciation	(20,600)	(13,600)
	1,22,400	87,400
Investments (Long term)	23,000	25,400
Inventory	28,800	22,000
Trade receivables	9,400	11,000
Cash	9,200	3,000
Prepaid expenses	200	1000
Share Capital	93,000	63,000
Reserves and surplus	28,000	26,400
Bonds	59,000	49,000
Trade payables	10,000	8,600
Outstanding liabilities	2400	1800
Income taxes payable	600	1000

Analysis of selected accounts and transactions during 20X0-X1

1. Purchased investments for Rs. 15,600.
2. Sold investments for Rs. 20,400. These investments cost Rs. 18,000.
3. Purchased plant assets for Rs.24000.
4. Sold plant assets that cost Rs. 2000 with accumulated depreciation of Rs. 400 for Rs.1000.
5. Issued Rs. 20000 of bonds at face value in exchange for plant assets on 31st March, 20X1.
6. Repaid Rs.10000 of bonds at face value at maturity.
7. Issued 3000 shares of Rs. 10each.
8. Paid cash dividends Rs. 1600.

Prepare Cash Flow Statement as per AS-3(Revised), using the indirect method.

Solution

Raymond Ltd.

Particulars	Rs	Rs.
Cash flows from operating activities		
Net profit before taxation	4600	
Adjustments for:		
Depreciation	7400	
Gain on sale of investments	(2400)	
Loss on sale of plant assets	600	
Interest expense	4600	
Interest income	(1200)	
Operating profit before working capital changes		13,600
Decrease in trade receivables	1600	
Increase in inventory	(6800)	
Decrease in prepaid expenses	800	
Increase in trade payables	1400	
Increase in outstanding liabilities	600	
Cash generated from operations		11,200
Income taxes paid*	(1800)	
Net cash generated from operating activities		94,00
<u>Cash flows from investing activities</u>		
Purchase of plant	(24000)	
Sale of plant	1000	
Purchase of investments	(15600)	
Sale of investments	20400	
Interest received	1200	
Net cash used in investing activities		(17,000)
Cash flows from financing activities		
Proceeds from issuance of share capital	30000	
Repayment of bonds	(10000)	
Interest paid	(4600)	
Dividends paid	(1600)	
Net cash from financing activities		<u>13,800</u>
Net increase in cash and cash equivalents		62,00
Cash and cash equivalents at the beginning of the period		3,000

Cash and cash equivalents at the end of the period		92,00
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4.7 STATEMENT OF CHANGE IN EQUITY

- It is the reconciliation between the opening and closing balance of shareholder's equity.
- The statement summarises the transactions related to the shareholder's equity over an accounting period.
- It records movement in retained earnings, other reserves and changes in share capital.
- Statement of changes in equity is to be presented, and it includes the following:
 - Reconciliation of the opening and closing balances of equity, describing changes in detail.
 - Details of comprehensive income for the accounting period.
 - Details of changes and the impact when components of equity are restated
 - applied retrospectively in accordance with the IAS/Ind-AS 8.
 - Comprehensive income is the incomes listed after the net income on the income statement.

4.8 SELF-ASSESSMENT QUESTIONS

1. State under which head these accounts should be classified in Balance Sheet, as per Schedule III of the Companies Act, 2013:
 - a. Unpaid matured debenture and interest accrued thereon.
 - b. Uncalled liability on shares and other partly paid investments.
 - c. Share option outstanding account.
 - d. Calls unpaid.
 - e. Money received against share warrant.
 - f. Share application money received in excess of issued share capital.
2. From the following particulars furnished by Alpha Ltd., prepare the

Overview

Particulars		Debit	Credit
Equity Share Capital (Face value of Rs. 100each)			5,00,000
Call in Arrears		500	
Land& Building		2,75,000	
Plant& Machinery		2,62,500	
Furniture		25,000	
General Reserve			1,05,000
Loan from State Financial Corporation			75,000
Inventory:			
Raw Materials	25,000		
Finished Goods	<u>1,00,000</u>	1,25,000	
Provision for Taxation			64,000
Trade receivables		1,00,000	
Short term Advances		21,350	
Profit& Loss Account			43,350
Cash in Hand		15,000	
Cash at Bank		1,23,500	
Unsecured Loan			60,500
Trade payables (for Goods and Expenses)			80,000
Loans & advances from related parties			20,000
		9,47,850	9,47,850

The following additional information is also provided:

- 10,000 Equity shares were issued for consideration other than cash.
- Trade receivables of Rs. 26,000 are due for more than 6 months.
- The cost of the Assets were:
Building Rs. 30,0,000, Plant&Machinery Rs. 35,0,000 and Furniture Rs. 31,250
- The balance of Rs. 75,000 in the Loan Account with State Finance Corporation is inclusive of Rs. 3,750 for Interest Accrued but not due. The loan is secured by hypothecation of Plant & Machinery.
- Balance at Bank includes Rs. 1,000 with Omega Bank Ltd., which is not a Scheduled Bank.
- Transfer Rs. 2,000 to general reserve is proposed by the Board of directors.
- The Board of directors declared a dividend of 5% on the paid-up capital on 2nd April, 20X1.

31stMarch, 20X1:

**Notes to
Accounts**

Particulars		Notes		31stMarch20X1 Rs.	31stMarch20X0 Rs.
1	Equity				
	an				
	dLiabilities				
2	Shareholders' funds				
	A Share capital	1		60,000	70,000
	B Reserves	2		42,000	30,000
3	an				
	dSurplus				
	Non-current liabilities				
3	Long term borrowings	3		20,000	-
	Current liabilities				
	A Trade Payables			11,500	11,000
3	B Other	4		3,000	8,000
	curren				
	tliabilities				
3	C Short				
	ter				
	m				
3	provision(provision for tax)				
	Total			1,46,000	1,25,000
1	Assets				
	Non-current assets				
	A Property, plant and Equipment	5		91,500	70,000
2	B Non-Current Investments			50,000	8000
	Current assets				
	A Inventories			9500	9000
2	B Trade receivables			25,000	22,500
	C Cash and Cash equivalents			5000	9000
	D Other Current assets			10,000	6500
2	Total			146000	125000

Accounts of A
Company

No.			31 st March, 20X1	31 st March, 20X0
1.	Share capital			



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Additional Information:

- (i) A piece of land has been sold out for Rs. 15000 (Cost – Rs. 1,2000), and the balance land was revalued. Capital Reserve consisted of profit on revaluation of land.
 - (ii) On 1st April, 20X0, a plant was sold for Rs. 9000 (Original Cost – Rs. 7000 and W.D.V. – Rs. 5000) and Debentures worth Rs. 10,000 were issued at par as part consideration for plant of Rs. 40,500 acquired.
 - (iii) Part of the investments (Cost – Rs. 5000) was sold for Rs. 7000.
 - (iv) Pre-acquisition dividend received Rs. 500 was adjusted against the cost of investment.
 - (v) Interim dividend was declared and paid @15% during the current year.
 - (vi) Income-tax liability for the current year was estimated at Rs. 13,500.
- Depreciation @15% has been charged on Plant and Machinery, but no depreciation has been charged on Building.

Window Dressing: The term 'window dressing' means manipulation